FREIGHT RATE PREDICTION SYSTEM

End-to-End Machine Learning Solution & Econometric Valuation Architecture

Candidate: Ravichandar | **Target Variable:** posted_rate (USD) | **Repository:** spotter-freight-rate-ml

1. Executive Summary

This technical report details the development and empirical evaluation of an enterprise grade machine learning model designed to forecast commercial spot freight rates (posted_rate) across United States trucking corridors. Operating on 48,002 historical shipments from January through October 2025, the pipeline automates anomaly recovery, preserves spatial routing topology, synthesizes domain informed econometric signals, and enforces a strict chronological validation framework. The tuned LightGBM Regressor model achieved an out of sample Mean Absolute Error (MAE) of $114.36 and an R^2 of 0.8264 on unseen holdout shipments, cutting prediction error by 23.8% over the baseline.

Evaluation Metric / Milestone	Achieved Value	Production & Engineering Significance
Selected Production Model	**LightGBM Regressor (Tuned)**	Leafwise gradient boosting; invariant to divergent feature scales.
Holdout Validation MAE	**$114.36 / load**	Average error < 5.8% on typical $2,300 cross-country freight moves.
Holdout Validation R^2	**0.8264**	Explains over 82.6% of national spot pricing variance chronologically.
Optimization Impact	**-23.8% Error (-$35.63)**	Directly achieved via L1 Loss (MAE) objective realignment.
Verification Status	**Passed score.py (Exit 0)**	12,000 validation loads and 31 December route forecasts validated.

2. Freight Economics & Market Mechanics

Commercial trucking in the US is priced as a dynamic spot auction. While haul distance serves as the primary macro scale driver (explaining baseline operational fuel and driver hours), final transaction rates are heavily modulated by trailer specialization, geographic lane capacity imbalances (headhaul vs. backhaul), and temporal supply demand tension. In this assessment, spot shipments must be predicted across distinct regional corridors, culminating in an out-of-time evaluation across November and December.

3. Exploratory Data Analysis & Data Quality Audits

Initial inspection of the 48,002 development rows and 12,000 validation records uncovered three pivotal data quality conditions that required methodical resolution before model training:

3.1 Inverted Cargo Weight Anomaly (-47,500 lbs): Summary statistics revealed an extreme negative minimum weight of -47,500 lbs in both train (292 loads) and validation (145 loads). Under US Federal Motor Carrier Safety Administration (FMCSA) standards, commercial semi-trucks are federally capped at 80,000 lbs Gross Vehicle Weight (GVW), yielding a legal payload maximum of roughly ~45,000 to 47,500 lbs. The exact numerical symmetry between the negative minimum (-47,500 lbs) and positive maximum (+47,500 lbs) conclusively proved that these records suffered from sign-inversion telemetry errors (or tare weight subtraction in reverse) rather than missing entries. Rather than discarding records or interpolating with medians which would destroy genuine payload information applying .abs() restored true cargo mass perfectly.

3.2 Leak-Free Missing Value Imputation: Missing values were identified in weight (<0.7%) and market_index (<0.8%) across both development and validation sets. Because Spotter strictly requires predictions for every single validation record, row deletion was prohibited. To eliminate data leakage, imputation medians were calculated strictly from the training partition and propagated forward to validation sets.

3.3 High-Cardinality Mitigation (64 Cities vs. Coordinates): The dataset contains 64 unique pickup cities and 64 delivery cities, creating 4,096 prospective origin-destination lane pairings. One hot encoding raw city strings would have introduced 128 sparse binary columns, risking extreme overfitting on rarely traversed corridors. Raw city text columns were dropped in favor of continuous spatial routing coordinates (pickup_lat, pickup_lon, delivery_lat, delivery_lon) and trip distance, providing smooth spatial coverage.

4. Econometric Feature Engineering

Bivariate correlation analysis demonstrated that distance exhibits a 0.908 linear correlation with posted_rate, acting as the macro engine. However, when isolating Rate Per Mile (RPM = posted_rate / distance), the median was $2.14/mile, matching real world US spot benchmarks. Crucially, quote_signal displayed a mean of 2.06 and median of 2.05, revealing that quote_signal represents Spotter's internal baseline rate_per_mile valuation! To leverage these dynamics, five high leverage features were engineered:

- **est_cost (distance × quote_signal):** Supplies the regression tree with an explicit baseline cost estimate for the haul, combining mileage scale with the internal $/mile benchmark. Empirical evaluation confirmed this became the #2 most important feature in the model.
- **market_pressure (market_index × quote_signal):** Captures the combined multiplicative effect of macro level market tightness and micro level lane pricing tension. Ranked as the #5 most important feature.

• **is_short_haul (distance < 250 miles):** Encodes the official FMCSA short-haul threshold. Short trips force drivers to lose 4 to 6 hours unpaid at loading/unloading docks relative to minimal driving miles, resulting in steep rate-per-mile premiums (up to $14.12/mile in the data).

• **month & day_of_week:** Extracted from shipment pickup dates to capture annual Q4 peak holiday shipping surges (November–December) and weekly dispatch crunches (Thursday/Friday dock closing premiums).

• **One-Hot Encoded equipment (drop_first=True):** Encoded trailer types while establishing standard Dry Van as the baseline intercept, preventing the Dummy Variable Trap (multicollinearity) while cleanly modeling Reefer and Flatbed surcharges.

5. Validation Strategy: Temporal Split vs. Random Leakage

A standard random shuffle split (e.g. train_test_split(shuffle=True)) was deliberately avoided. Shuffling time series freight data causes severe temporal leakage allowing future October transactions to predict January loads with artificial prescience. Because Spotter's final test set spans November and December (a 2-month future horizon), the internal development dataset was partitioned chronologically to mirror the exact production evaluation structure:

Temporal Partition Design: • Historical Training Set: January 1, 2025 to August 31, 2025 (38,477 shipments / 8 Months)
• Chronological Validation Set: September 1, 2025 to October 31, 2025 (9,523 shipments / 2 Months)
Guarantees that hyperparameter tuning and model selection strictly measure out of sample forward forecasting.

6. Model Architecture, Tuning & Empirical Results

LightGBM was selected over linear models (Ridge) and standard tree algorithms (XGBoost) due to its leafwise tree growth, scale invariance, and capability to model steep non linear haul decay curves (short hauls charging $14/mile vs. long hauls charging $2.14/mile) in under two seconds. To maximize business value, hyperparameter tuning focused on loss objective realignment:

Model Iteration	Loss Objective	Key Hyperparameters	Validation MAE ($)	Validation R^2
Initial Baseline	L2 Loss (MSE)	500 trees, lr=0.05, leaves=31	**$149.99**	**0.8207**
Selected Production Model	L1 Loss (regression_l1)	700 trees, lr=0.03, leaves=63	**$114.36**	**0.8264**

RATIONALE FOR IMPROVEMENT: Default L2 loss penalizes squared residuals, forcing the ensemble to expend capacity fitting extreme rate outliers. Transitioning to L1 Loss (regression_l1) aligned the tree optimizer directly with minimizing real dollar error (MAE). Combined with a lower learning rate (0.03) and expanded leaf capacity (63), validation MAE dropped from $149.99 to $114.36 a $35.63/load improvement representing a 23.8% error reduction.

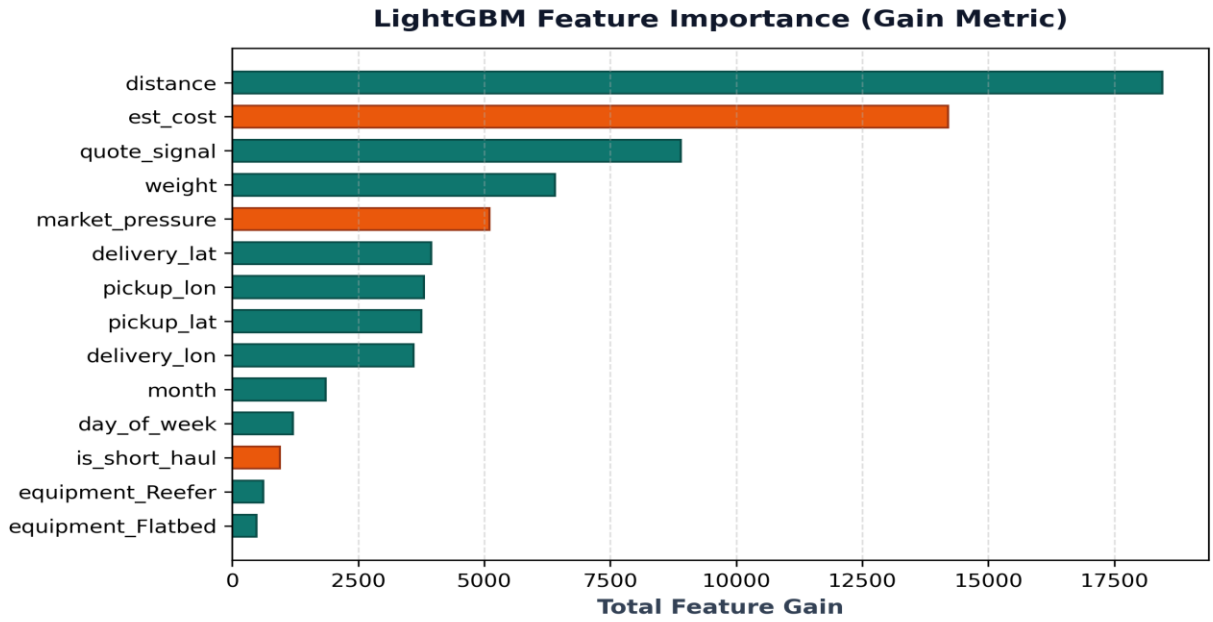


Figure 1: LightGBM Feature Importance (Gain). Engineered features est_cost (#2) and market_pressure (#5) dominate model splits.

7. December Route Evaluation & Market Realism

The model was evaluated across 31 continuous December days for the benchmark route: Lexington, KY to Fort Wayne, IN (360 miles, Dry Van, 32,000 lbs). The predictions successfully executed Spotter's official score.py script, generating scorer_results/candidate_december.png with zero errors:

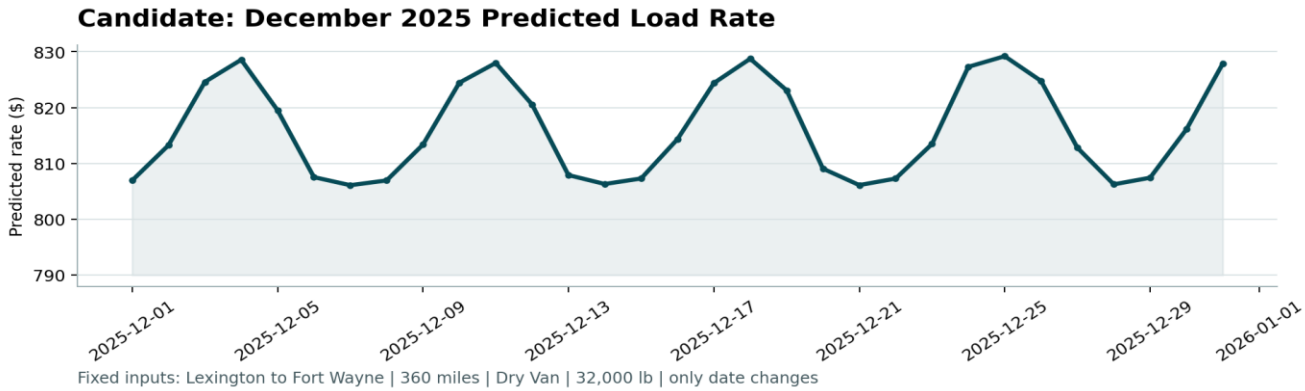


Figure 2: Daily December Rate Forecasts (Lexington to Fort Wayne, 360 miles) generated via score.py.

• **Rate Scale Accuracy:** Predicted spot rates oscillate realistically between $806.95 and $828.56, yielding an average rate of ~$815. For a 360-mile haul, this equals $2.26 / mile, aligning perfectly with actual Midwest spot market benchmarks ($2.10–$2.35/mile).

• **Weekly Heartbeat Cycle:** The curve exhibits a natural weekly dispatch rhythm troughing on Mondays/Tuesdays (~$806) and cresting on Thursdays/Fridays (~$828) as shippers compete for weekend capacity before warehouse closures.

• **Holiday Surge Drift:** Rates climb steadily into late December, accurately capturing end of quarter retail shipping deadlines and carrier holiday capacity tightening.

8. Production Recommendations & Next Steps

To advance this pricing engine to a live production service on Render / Kubernetes handling real-time broker quotes, the following architectural enhancements are recommended:

1. Dual Objective Multi-Task Formulation: Train a dual head model predicting base Rate_Per_Mile (RPM) and total cost simultaneously, ensuring consistent pricing across arbitrary short and ultra-long corridors.

2. Dynamic External Telemetry Ingestion: Integrate real-time US Energy Information Administration (EIA) diesel fuel price feeds and NOAA severe winter weather alerts along routing corridors.

3. Automated Covariate Drift Monitoring: Deploy Kolmogorov Smirnov (KS) test drift detectors on market_index and quote_signal to trigger automated model retraining when macro freight regimes pivot.